

End-to-End Process · Procure-to-Pay (P2P)

End-to-End Process Specification

Step-level specification: People · Process · Data / CRUD · Technology · PCF 4.2 + 4.3 + 9.2

Step · PCF	Pattern	M3 H%	People	Process	Data · CRUD	Technology
PCF 4.2 · Develop Sourcing Strategy						
Develop Sourcing Strategy 4.2.1	Knowledge	65%	Category Manager + Procurement Lead AI analyzes spend data and market trends. Human interprets insights and sets sourcing direction.	Analyze spend profile and supply market. Identify sourcing opportunities. Establish procurement plan and contingency strategy.	C Procurement Plan · ERP Procurement R Spend Data · ERP Finance / BI R Risk Policy · GRC Platform	Spend Analytics — SAP Analytics / Coupa AI Spend Analysis — pattern identification
Develop Category Plan 4.2.1	Knowledge	65%	Category Manager AI forecasts demand by market segment. Human assigns revenue/margin targets and validates strategy.	Analyze category and product positioning. Forecast demand by market. Assign revenue and margin targets.	C Category Plan · ERP Procurement R Procurement Plan · ERP Procurement	Demand Planning — SAP IBP / Oracle AI Forecasting — demand signal modeling
Identify & Select Suppliers 4.2.3	Decision	80%	Procurement Manager — Strategic authority AI scores suppliers against qualification criteria. Human makes final selection and approves contracts.	Evaluate supplier capabilities. Negotiate and establish contracts. Certify suppliers. Maintain approved supplier list.	C Approved Supplier List · ERP Supplier Mgmt C Contract Master · Contract Mgmt System R Supplier Performance Data · ERP	Supplier Mgmt — SAP SLC / Ariba SLP Contract Mgmt — SAP CLM / Ariba AI Scoring — supplier risk ranking
PCF 4.2 · Procure Materials and Services						
Process Requisition 4.2.4	Document	40%	Requisitioner Initiates need. AI drafts requisition from historical order patterns. Human reviews and approves.	Identify material need. Select item from catalog. Specify quantity, delivery date, cost center.	C Purchase Requisition · ERP Procurement R Item / Material Master · ERP MM R Budget / Cost Center · ERP Finance	ERP Procurement — SAP ME51N AI Drafting — purchase history recognition
Approve Requisition 4.2.4	Decision	80%	Budget Owner — Financial authority AI validates against budget and policy. Human reviews flagged anomalies and approves or rejects.	Validate requisition against budget, sourcing strategy, and approved supplier list. Route to purchasing on approval.	U Purchase Requisition · ERP Procurement R Budget / Cost Center · ERP Finance	ERP Workflow — approval routing engine AI Policy Check — budget validation
Solicit Supplier Quotes 4.2.4	Document	40%	Buyer AI generates RFQ from approved requisition. Human reviews, selects suppliers, evaluates quotes.	Issue RFQ to approved suppliers. Receive and evaluate supplier quotes. Select best offer against price, lead time, and quality.	R Purchase Requisition · ERP Procurement R Approved Supplier List · ERP Supplier Mgmt R Contract Master · Contract Mgmt System	ERP Procurement — SAP MM-PUR / Ariba Sourcing Supplier Portal — RFQ distribution AI Quote Analysis — automated scoring
Create Purchase Order 4.2.4	Document	40%	Buyer AI drafts PO from approved requisition and contract terms. Buyer reviews, adjusts, and approves draft.	Generate PO from approved requisition. Apply contract pricing and terms. Validate against budget.	C Purchase Order · ERP Procurement R Contract Master · Contract Mgmt System R Supplier Master · ERP	ERP Procurement — SAP ME21N Contract Mgmt System — Ariba / Coupa

Step · PCF	Pattern	M3 H%	People	Process	Data · CRUD	Technology
					R Budget / Cost Center · ERP Finance	AI PO Generation — contract-aware drafting
Distribute Purchase Order 4.2.4	Transaction	35%	AI — System automated Transmits approved PO to supplier via EDI or supplier portal. Human monitors delivery confirmation only.	Transmit approved PO to supplier. Send copy to Finance. Record transmission and delivery commitment.	U Purchase Order · ERP Procurement R Supplier Master · ERP	EDI / Supplier Portal — PO transmission (SAP MM-SLP) ERP Integration — Finance notification
Resolve Order Exception 4.2.4	Exception	82%	Buyer + Supplier AI flags PO exception. Human buyer expedites orders, reconciles POs, resolves exceptions with supplier.	Investigate PO rejection or amendment. Negotiate with supplier. Correct PO or issue exception closure report.	U Purchase Order · ERP Procurement R Contract Master · Contract Mgmt System R Supplier Master · ERP	Supplier Portal — exception communication AI Triage — exception classification
PCF 4.3 · Manage Logistics and Warehousing						
Receive / Inspect / Store Product 4.3.2	Transaction	35%	Warehouse / Receiving Physical receipt and inspection by warehouse staff. AI records, matches against PO, and posts goods receipt.	Receive goods per PO and delivery note. Inspect quantity and condition. Accept or reject. Post GR to trigger AP match. Store product.	C Receipt / GRN · ERP Warehouse Mgmt R Purchase Order · ERP Procurement R Item / Material Master · ERP MM	ERP WM — SAP MIGO / MM-IM / EWM / QM Barcode / RFID — goods receipt scanning AI Matching — PO-to-receipt reconciliation
Resolve Receipt Exception 4.3.2	Exception	82%	Warehouse Manager + Buyer AI flags discrepancy. Human investigates, contacts supplier, determines accept, return, or credit.	Investigate quantity/quality discrepancy. Contact supplier. Determine resolution. Issue rejection notice. Update receipt.	U Receipt / GRN · ERP Warehouse Mgmt R Purchase Order · ERP Procurement R Supplier Master · ERP	ERP Exception Workflow Supplier Portal — discrepancy communication AI Triage — discrepancy classification
PCF 9.2 · Process Accounts Payable						
Validate Invoice 9.2.1	Transaction	35%	AI — System automated Ingests invoice via EDI, supplier portal, or OCR. Performs 2-way/3-way match. Human monitors exception queue only.	Receive invoice. Match to PO and Goods Receipt. Validate pricing, quantity, and payment terms. Route clean invoices to approval.	C Invoice · AP Automation Platform R Purchase Order · ERP Procurement R Receipt / GRN · ERP Warehouse Mgmt R Supplier Master · ERP	AP Automation — SAP MM-IV / FI-AP / VIM AI OCR — invoice data extraction AI Matching — 2-way / 3-way match engine
Resolve Invoice Discrepancies 9.2.2	Exception	82%	AP Specialist + Buyer AI flags match exception and classifies root cause. Human investigates, collaborates with Purchasing and Supplier.	Investigate match mismatch. Collaborate with Purchasing and Supplier. Correct invoice or update PO. Resubmit for validation.	U Invoice · AP Automation Platform R Purchase Order · ERP Procurement R Supplier Master · ERP	AP Automation — exception queue Supplier Portal — dispute communication AI Root Cause — discrepancy classification
Approve for Payment 9.2.3	Decision	80%	Finance Director — Payment authority Final human authorization. AI presents payment batch summary with risk flags and DPO analysis.	Review validated invoices. Confirm payment batch against cash position and DPO targets. Authorize payment release.	C Payment · Treasury Platform R Invoice · AP Automation Platform R Budget / Cost Center · ERP Finance	Treasury Platform — SAP TRM / Kyriba ERP AP Module — payment authorization AI Payment Batch — DPO optimization
Process Payment 9.2.3	Transaction	35%	AI — System automated	Schedule and execute payment run. Transmit to bank. Post payment to	U Payment · Treasury Platform	Treasury Platform — ACH / SWIFT / Wire

Step · PCF	Pattern	M3 H%	People	Process	Data · CRUD	Technology
			Executes approved payment batch. Transmits to bank. Posts payment. Human monitors settlement confirmation only.	AP ledger. Notify supplier. Record cleared vendor account.	U Invoice · AP Automation Platform U Supplier Master · ERP	Supplier Portal — payment notification ERP AP Module — SAP FI-AP / FSCM
Reconcile Accounts 9.2.4	Transaction	35%	AI — System automated AI reconciles AP ledger against bank statements. Flags variances. Human resolves open items and approves period close.	Reconcile AP ledger against bank statements and payment execution data. Resolve variances. Close period. Output to Financial Reporting (6.1.3).	U AP Ledger · ERP FI-GL / FI-AP R Payment · Treasury Platform R Bank Statements · Treasury / Banking	ERP GL — SAP FI-GL / Oracle GL Treasury Platform — bank reconciliation AI Reconciliation — auto-match, variance detection
Invoice Exception 9.2.1	Exception	82%	AP Manager — Resolution authority Human determines root cause and authorizes resolution: approve, dispute, or return.	Investigate failed validation. Determine root cause. Authorize resolution path. Update AP record and notify stakeholders.	U Invoice · AP Automation Platform U Receipt / GRN · ERP Warehouse Mgmt R Contract Master · Contract Mgmt System	AP Automation — exception workflow Contract Mgmt System — contract validation AI Root Cause — discrepancy analysis
External Participant · Supplier						
Receive Purchase Order Ext	Transaction	35%	Supplier Receives PO via EDI or supplier portal. Confirms delivery commitment.	Receive and review PO. Confirm quantities, dates, and pricing. Respond with PO confirmation or amendment request.	R Purchase Order (received from Purchasing)	EDI / Supplier Portal
Ship Goods / Deliver Ext	Transaction	35%	Supplier Prepares and ships goods per PO specification.	Pick and pack goods. Prepare delivery note and packing list. Ship to buyer's receiving location.	C Delivery Note C Packing List	Supplier WMS / Shipping Platform
Prepare Invoice Ext	Document	40%	Supplier AP Generates invoice from delivery note and PO confirmation.	Generate invoice matching PO line items, quantities, and agreed pricing. Apply payment terms per contract.	C Invoice (sent to Finance 9.2.1)	Supplier ERP / Billing System
Issue Invoice Ext	Transaction	35%	AI — System automated Transmits invoice to buyer Finance via EDI or supplier portal.	Transmit invoice electronically. Record invoice transmission. Await payment confirmation.	U Invoice (transmitted to Finance 9.2.1)	EDI / Supplier Portal
Receive Payment Ext	Transaction	35%	Supplier Finance Records payment receipt. Reconciles against invoice.	Receive payment confirmation. Reconcile against outstanding invoice. Post to supplier AR ledger. Close invoice.	U Invoice (closed in supplier system) C Payment Receipt	Supplier ERP / Treasury System

CRUD Data Matrix · Procure-to-Pay (P2P)

C = Create · R = Read · U = Update · D = Delete · · = No operation at this step

PCF 4.2 · Develop Sourcing Strategy + Procure Materials and Services

Data Entity	System of Record	4.2.1 (1)	4.2.1 (2)	4.2.3 (3)	4.2.4 (4)	4.2.4 (5)	4.2.4 (6)	4.2.4 (7)	4.2.4 (8)
Procurement Plan	ERP Procurement	C	R	R	.	.	.	.	.

Data Entity	System of Record	4.2.1 (1)	4.2.1 (2)	4.2.3 (3)	4.2.4 (4)	4.2.4 (5)	4.2.4 (6)	4.2.4 (7)	4.2.4 (8)
Spend Data	ERP Finance / BI	R	R	.	.	.	.	.	.
Approved Supplier List	ERP Supplier Mgmt	.	.	C	R	R	R	R	R
Contract Master	Contract Mgmt System	.	.	C	.	.	R	R	R
Supplier Master	ERP Supplier Mgmt	.	.	R	R	R	R	R	R
Purchase Requisition	ERP Procurement	.	.	.	C	U	R	R	R
Purchase Order	ERP Procurement	.	.	.	.	.	R	C	U
Budget / Cost Center	ERP Finance	.	.	.	R	R	.	R	.
Item / Material Master	ERP MM	.	.	.	R	R	R	R	.

(1) 4.2.1 Develop Sourcing Strategy · (2) 4.2.1 Develop Category Plan · (3) 4.2.3 Identify & Select Suppliers · (4) 4.2.4 Process Requisition · (5) 4.2.4 Approve Requisition · (6) 4.2.4 Solicit Supplier Quotes · (7) 4.2.4 Create Purchase Order · (8) 4.2.4 Distribute Purchase Order

PCF 4.3 · Manage Logistics and Warehousing

Data Entity	System of Record	4.3.2 (1)
Receipt / GRN	ERP Warehouse Mgmt	C
Purchase Order	ERP Procurement	R
Item / Material Master	ERP MM	R

(1) 4.3.2 Receive / Inspect / Store Product · Exception steps omitted — read/update existing entities only

PCF 9.2 · Process Accounts Payable

Data Entity	System of Record	9.2.1 (1)	9.2.3 (2)	9.2.3 (3)	9.2.4 (4)
Invoice	AP Automation	C	R	U	.
Purchase Order	ERP Procurement	R	R	.	.
Receipt / GRN	ERP Warehouse Mgmt	R	.	.	.
Supplier Master	ERP Supplier Mgmt	R	.	U	.
Payment	Treasury Platform	.	C	U	R
Budget / Cost Center	ERP Finance	.	R	.	.
AP Ledger	ERP FI-GL / FI-AP	.	.	U	U
Bank Statements	Treasury / Banking	.	.	.	R

(1) 9.2.1 Validate Invoice · (2) 9.2.3 Approve for Payment · (3) 9.2.3 Process Payment · (4) 9.2.4 Reconcile Accounts · Exception steps omitted — read/update existing entities only

